AEGIS BANK

Performance Evaluation Policy

Enterprise AI Decision & Knowledge Platform for Modern Banking

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Document Information

Field	Details
Document Title	Performance Evaluation Policy
Document ID	**AB-HR-005**
Department	Human Resources (HR)
Version	v1.2
Last Updated	July 24, 2026
Document Owner	Human Resources Department
Classification	Internal
Review Date	July 24, 2027
Approved By	**Sami Khan – Chief Executive Officer (CEO)**

Confidentiality Notice

This Performance Evaluation Policy is an official internal document of **Aegis Bank**. It establishes the standards, processes, and responsibilities for evaluating employee performance. The information contained in this document is confidential and intended for authorized employees, managers, Human Resources personnel, and executive leadership.

Unauthorized distribution or disclosure is prohibited.

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1. Purpose

The purpose of this policy is to establish a consistent, transparent, and objective approach to evaluating employee performance across Aegis Bank.

Performance evaluations support organizational excellence by recognizing high-performing employees, identifying development opportunities, and aligning individual objectives with the strategic goals of the Bank.

This policy aims to:

- Promote accountability.
- Encourage continuous improvement.
- Reward high performance.
- Identify training needs.
- Support career development.
- Improve organizational productivity.
- Ensure fair and objective evaluations.

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2. Scope

This policy applies to:

- Full-Time Employees
- Part-Time Employees
- Permanent Staff
- Probationary Employees
- Managers
- Team Leaders
- Department Heads

Executive Leadership may follow additional evaluation procedures approved by the CEO.

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3. Performance Management Principles

Performance management at Aegis Bank is based on the following principles:

- Fairness
- Transparency
- Objectivity
- Accountability
- Continuous Feedback
- Employee Development
- Compliance with HR Policies
- Alignment with Business Goals

Employees are encouraged to actively participate in their own professional development.

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4. Performance Evaluation Framework

Employee performance is evaluated using multiple criteria to ensure a balanced assessment.

The evaluation framework considers:

- Achievement of individual goals.
- Quality of work.
- Productivity.
- Customer service.
- Regulatory compliance.
- Team collaboration.
- Technical competency.
- Problem-solving ability.
- Innovation.
- Leadership potential.
- Information security awareness.
- Professional conduct.

Managers should evaluate performance based on documented evidence rather than personal opinions.

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5. Performance Review Cycle

Performance reviews are conducted throughout the employment lifecycle.

Standard review periods include:

- Probation Review
- Quarterly Check-ins
- Mid-Year Review
- Annual Performance Review
- Promotion Assessment
- Performance Improvement Review (where applicable)

Managers should provide ongoing feedback instead of waiting for formal review periods.

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6. Key Performance Indicators (KPIs)

Performance indicators vary depending on the employee's role.

Examples include:

Customer Service Roles

- Customer satisfaction score
- Average response time
- Complaint resolution rate
- Service quality
- Customer retention

Banking Operations

- Transaction accuracy
- Processing efficiency
- Compliance with SOPs
- Error rate
- Productivity

IT & Engineering

- Project delivery
- Code quality
- System availability
- Incident resolution
- Security compliance
- Documentation quality

Information Security

- Incident response time
- Risk assessments completed
- Vulnerability remediation
- Compliance audit results
- Security awareness initiatives

Human Resources

- Recruitment turnaround time
- Employee retention
- Training completion rates
- Employee engagement
- Policy compliance

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7. Roles & Responsibilities

Human Resources

Responsible for:

- Maintaining this policy.
- Supporting managers.
- Monitoring compliance.
- Maintaining evaluation records.
- Providing training on performance management.

Managers

Managers are responsible for:

- Setting clear expectations.
- Conducting objective evaluations.

- Providing constructive feedback.
- Identifying development opportunities.
- Supporting employee growth.
- Documenting performance discussions.

Employees

Employees are expected to:

- Understand performance expectations.
- Complete assigned objectives.
- Participate in review discussions.
- Seek feedback.
- Complete required training.
- Support continuous improvement initiatives.

End of Part 1

The next section (**Part 2**) will complete the document with:

- Performance Rating Scale
- Goal Setting Process
- Performance Improvement Plan (PIP)
- Promotions & Rewards
- Recognition Programs
- Practical Examples
- FAQs
- Related Documents
- Revision History
- Document Approval

This will complete **AB-HR-005 – Performance Evaluation Policy** as another enterprise-grade HR document for your Aegis Bank RAG knowledge base.

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8. Goal Setting Process

Performance objectives should be established at the beginning of each review cycle and aligned with the strategic objectives of Aegis Bank.

Managers and employees should jointly define measurable goals using the SMART framework.

Goals should be:

- **Specific**
- **Measurable**
- **Achievable**
- **Relevant**
- **Time-Bound**

Typical objectives may include:

- Improve customer satisfaction.
- Reduce operational errors.
- Complete mandatory compliance training.
- Deliver assigned projects on schedule.
- Strengthen cybersecurity awareness.
- Improve process efficiency.
- Contribute to innovation initiatives.

Goals may be revised during the review cycle if business priorities change.

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9. Performance Rating Scale

Aegis Bank uses a standardized performance rating system to ensure consistency across departments.

Rating	Description
5 – Outstanding	Performance consistently exceeds expectations and demonstrates exceptional contribution.
4 – Exceeds Expectations	Frequently performs above the required standard with minimal supervision.
3 – Meets Expectations	Reliably achieves job responsibilities and performance objectives.
2 – Needs Improvement	Performance is inconsistent and requires coaching or additional support.
1 – Unsatisfactory	Performance does not meet minimum expectations and requires immediate corrective action.

Managers should support ratings with documented evidence and objective performance data.

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10. Feedback & Performance Discussions

Constructive feedback is an essential component of continuous improvement.

Managers should provide feedback that is:

- Timely
- Respectful
- Specific
- Evidence-based
- Solution-oriented

Performance discussions should include:

- Achievements
- Areas for improvement
- Development opportunities
- Career aspirations
- Agreed action plans

Employees are encouraged to actively participate and ask questions during review meetings.

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11. Performance Improvement Plan (PIP)

Employees whose performance falls below expectations may be placed on a **Performance Improvement Plan (PIP)**.

A PIP is intended to provide structured support and clear expectations for improvement.

A typical PIP includes:

- Performance concerns
- Improvement objectives
- Training requirements
- Coaching sessions
- Progress review meetings
- Target completion dates
- Success criteria

Managers and Human Resources will monitor progress throughout the PIP period.

Failure to achieve agreed objectives may result in further employment action in accordance with HR policies.

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12. Promotions & Career Advancement

Promotion decisions are based on a combination of:

- Sustained performance
- Technical competency
- Leadership capability
- Professional conduct
- Compliance record
- Training completion
- Business needs

- Organizational readiness

Length of service alone does not guarantee promotion.

Employees demonstrating exceptional performance may be considered for accelerated career development opportunities.

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13. Rewards & Recognition

Aegis Bank values employees who consistently demonstrate excellence.

Recognition programs may include:

- Employee of the Month
- Annual Excellence Awards
- Innovation Awards
- Customer Service Recognition
- Leadership Awards
- Team Achievement Awards
- Long Service Awards

Recognition may be accompanied by performance bonuses or other rewards in accordance with Bank policies.

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14. Training & Development

Performance evaluations should identify learning opportunities that support both individual and organizational growth.

Development activities may include:

- Internal workshops
- Professional certifications
- Compliance training
- Leadership development
- Technical skills training

- AI and digital banking education
- Cybersecurity awareness programs
- Mentoring and coaching

Managers should encourage continuous learning throughout the year.

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15. Appeals Process

Employees who believe their evaluation is inaccurate or unfair may request a formal review.

The appeal process includes:

1. Discussion with the Reporting Manager.
2. Review by Human Resources.
3. Escalation to the Department Head if required.
4. Final review by Executive Management where appropriate.

All appeals should be supported by relevant evidence and submitted within the timeframe specified by Human Resources.

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16. Practical Examples

Example 1 – Outstanding Performance

A Relationship Manager consistently exceeds sales targets, receives excellent customer feedback, completes all compliance training ahead of schedule, and mentors junior colleagues.

Outcome

The employee receives a rating of **Outstanding (5)** and may be considered for a performance bonus and future leadership opportunities.

Example 2 – Needs Improvement

An Operations Officer repeatedly misses reporting deadlines and records several avoidable processing errors.

Outcome

The manager provides coaching, establishes measurable improvement goals, and places the employee on a Performance Improvement Plan (PIP).

Example 3 – Promotion Recommendation

A Software Engineer successfully leads the implementation of a secure AI-powered knowledge platform, improves system performance, and consistently demonstrates leadership.

Outcome

Following a successful annual review, the employee is recommended for promotion to Senior Software Engineer.

Example 4 – Compliance Impact

An employee consistently achieves productivity targets but repeatedly fails to complete mandatory Information Security and AML training.

Outcome

The manager reduces the overall evaluation rating to reflect non-compliance with mandatory organizational requirements and establishes corrective actions.

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17. Frequently Asked Questions (FAQs)

Q1. How often are performance reviews conducted?

Employees participate in probation reviews, periodic check-ins, and a formal annual performance evaluation. Additional reviews may occur for promotions or performance improvement.

Q2. Who conducts my performance evaluation?

Your immediate Reporting Manager conducts the evaluation with support and oversight from Human Resources where necessary.

Q3. Can I disagree with my performance rating?

Yes. Employees may discuss concerns with their manager and, if necessary, submit an appeal through the Human Resources review process.

Q4. Does completing mandatory training affect my evaluation?

Yes. Completion of required compliance, security, and professional development training forms part of the overall performance assessment.

Q5. Does a high performance rating guarantee a promotion?

No. Promotion decisions also consider organizational requirements, available positions, leadership potential, and overall business needs.

Q6. What happens if I do not improve after a PIP?

If agreed performance objectives are not achieved despite reasonable support and coaching, further employment action may be considered in accordance with Human Resources policies.

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18. Related Documents

This policy should be read alongside:

- Employee Handbook (AB-HR-001)
- Leave Policy (AB-HR-002)
- Recruitment Policy (AB-HR-003)
- Code of Conduct (AB-HR-004)
- Learning & Development Policy
- Information Security Policy (AB-SEC-003)
- AI Usage Policy (AB-AI-001)

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19. Revision History

Version	Date	Description	Author
v1.0	January 28, 2026	Initial Release	Human Resources
v1.1	April 30, 2026	Updated Performance Rating Framework and KPI Guidance	Human Resources
v1.2	**July 24, 2026**	**Enhanced Goal Setting Process, Appeals Procedure, AI Competency Evaluation, and Development Planning**	**Human Resources**

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20. Document Approval

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Document Control

Attribute	Value
Document Status	Approved
Distribution	Managers, Human Resources, Executive Leadership

Attribute	Value
Language	English
Storage Location	Aegis Bank Document Management System (DMS)
Retention Period	7 Years
Supersedes	Performance Evaluation Policy v1.1

End of Document

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